

Needless to say, this Inside Zebra philosophy doesn't appeal to me as a long-term investor.

The above observations were offered to Acorn shareholders some time ago, but I believe them just as valid and vital today, and as relevant to Main Street investors as to Wall Streeters. If you are comfortable only when in the middle of the herd, you might as well sign up for indexing. (Index funds, which track the Standard & Poor's 500 or some other market index, didn't exist back then, but today they're available in mutual fund format.) I'll assume you agree with me that it's worth trying to outrun the pack, because if you were the passive investor sort, you wouldn't be reading this book in the first place.

What triggered the zebra metaphor—and I'm a big believer in the enlightening power of metaphors—was the exasperating investment climate at the time. Some of you have been in the market long enough to remember that at the end of the 1960s and in the first years of the 1970s the market increasingly became two-tiered. The top layer, of "Nifty Fifty" stocks, consisted of a bunch of big, quality, mostly brand-name consumer companies whose stocks were selling at stratospheric price-to-earnings ratios. Disney's P/E climbed to 76, McDonald's to 81, Polaroid's to 97. The second tier—everything else—was selling at more familiar and reasonable P/Es. And since I was then and am now a small-company investor, I was suffering. My *companies* were doing fine, but their *stocks* were trailing badly. I don't think I've ever lived through a more frustrating time in the market.

I held my ground, though: I wasn't going to shed my principles and join the Nifty Fifty nibblers in the middle of the pack. As I quipped to a reporter at the time, "Fundamentally, we still believe